dividend. If the dividend is disproportionately small, an investment purchase will be justified only on an exceptionally impressive showing of earnings (or by a very special situation with respect to liquid assets). On the other hand, of course, an extra-liberal dividend policy cannot compensate for inadequate earnings, since with such a showing the dividend rate must necessarily be undependable.

To aid in developing these ideas quantitatively, we submit the following definitions:

> The *dividend rate* is the amount of annual dividends paid per share, expressed either in dollars or as a percentage of a $100 par value. (If the par value is less than $100, it is inadvisable to refer to the dividend rate as a percentage figure since this may lead to confusion.)
>
> The *earnings rate* is the amount of annual earnings per share, expressed either in dollars or as a percentage of a $100 par value.
>
> The *dividend ratio*, *dividend return* or *dividend yield*, is the ratio of the dividend paid to the market price (*e.g.*, a stock paying $6 annually and selling at 120 has a dividend ratio of 5%).
>
> The *earnings ratio*, *earnings return* or *earnings yield*, is the ratio of the annual earnings to the market price (*e.g.*, a stock earning $6 and selling at 50 shows an earnings yield of 12%).[5]

Let us assume that a common stock *A*, with average prospects, earning $7 and paying $5 should sell at 100. This is a 7% earnings ratio and 5% dividend return. Then a similar common stock, *B*, earning $7 but paying only $4, should sell lower than 100. Its price evidently should be somewhere between 80 (representing a 5% dividend yield) and 100 (representing a 7% earnings yield). In general the price should tend to be established nearer to the lower limit than to the upper limit. A fair approximation of the proper relative price would be about 90, at which level the dividend yield is 4.44%, and the earnings ratio is 7.78%. If the investor makes a small concession in dividend yield below the standard, he is entitled to demand a more than corresponding increase in the earning power above standard.

In the opposite case a similar stock, *C*, may earn $7 but pay $6. Here the investor is justified in paying some premium above 100 because of

[5] The term *earnings basis* has the same meaning as *earnings ratio*. However, the term *dividend basis* is ambiguous, since it is used sometimes to denote the rate and sometimes the ratio.